before proposing additional disclosure amendments.[129] Similarly, we anticipate that the recently adopted changes to the variable insurance contract disclosure framework would significantly change investors' experience with variable contract disclosure. While these changes are focused more on prospectus disclosure and not shareholder report disclosure, we would like to assess the impact of these changes prior to proposing additional disclosure changes for variable contracts.[130] Our proposed amendments therefore do not extend at this time to other investment companies such as closed-end funds, unit investment trusts, or managed open-end investment companies not registered on Form N-1A (*i.e.,* issuers of variable annuity contracts registered on Form N-3).

We request comment on the scope of entities that would be covered by our proposed amendments to annual reports, including the following:

9. To what extent, if any, should the proposed amendments to shareholder reports be extended to other investment companies besides open-end mutual funds and ETFs organized as management investment companies?

10. For example, ETFs can be organized as management investment companies registered on Form N-1A or as unit investment trusts ("UITs") that are registered on Form N-8B-2 and subject to certain Commission exemptive orders. UIT ETFs are organized

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[129] *See, e.g.*, Closed-End Fund Offering Reform Adopting Release, *supra* footnote 128, at Section II.I.2.a (discussing new annual report requirements for funds that file a short-form registration statement), Section II.I.2.b (discussing proposed MDFP disclosure that would appear in registered closed-end funds' annual reports), and Section II.I.5 (discussing enhancements to certain registered closed-end funds' annual report disclosure).

[130] Moreover, of the variable contract structures, only variable contracts with separate accounts structured as management investment companies—those registered on Form N-3—have annual and semi-annual shareholder reporting requirements under rule 30e-1.

differently than and subject to a different disclosure framework than funds.[131] For example, exemptive orders for UIT ETFs generally require these ETFs to transmit annual reports that include their financial statements, but the content of these ETFs' annual reports is not necessarily the same as the current content of funds' annual reports. Despite these differences between funds and UIT ETFs, should UIT ETFs be permitted to rely upon proposed rule 498B, or permitted or required to use a tailored annual report? If so, to what extent, if any, should the conditions to rely on proposed rule 498B or use a tailored annual report be modified for UIT ETFs? If a UIT ETF were to use a tailored annual report, should the content of its report differ from the content of a tailored annual report for open-end management companies? For example, should this ETF's financial statements remain in the report in accordance with its exemptive order, or should it be able to provide its financial statements through other means (*e.g.*, on a website and through a Form N-CSR report, even though these ETFs are not otherwise required to file Form N-CSR reports), subject to potential conditions that the ETF provide other information in an annual report? Do shareholders in UIT ETFs have the same informational needs as fund shareholders? For example, do UIT ETFs' shareholders need the same performance information, or do their needs differ since a UIT ETF generally replicates an index?

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[131] A UIT is an investment company organized under a trust indenture or similar instrument that issues redeemable securities. *See* section 4(2) of the Investment Company Act [15 U.S.C. 80a-4]. By statute, a UIT is unmanaged and its portfolio is fixed. A UIT does not have a board of directors, corporate officers, or an investment adviser to render advice during the life of the trust. ETFs organized as UITs seek to track the performance of an index by investing in the component securities of an index in the same approximate proportions as the index. *See* ETF Adopting Release, *supra* footnote 75, at nn.42, 44.

11. Should the Commission amend the requirements for registered closed-end funds' and BDCs' annual reports, to reflect any of the amendments we are proposing for open-end funds' annual reports?[132] As an example, the Commission recently adopted rules requiring: (1) certain closed-end funds (registered closed-end funds, as well as BDCs) to include key information in their annual reports regarding fees and expenses, premiums and discounts, and outstanding senior securities that the funds currently disclose in their prospectuses; and (2) registered closed-end funds to provide management's discussion of fund performance in their annual reports to shareholders.[133] If the Commission were to propose to tailor closed-end funds' shareholder reports in a manner that is similar to how we are proposing to tailor open-end funds' shareholder reports, how should such tailoring incorporate these recently adopted disclosure requirements, as well as the other content that currently appears in closed-end funds' shareholder reports? For example, should we propose to update the fee and expense information that appears in closed-end funds' shareholder reports to more closely match the proposed fund expense presentation that would appear in open-end funds' shareholder reports? As another example, would it be appropriate to require closed-end funds to file on Form N-CSR certain information that currently appears in their shareholder reports (such as their full financial statements) and make this information available on a website, instead of including it in their reports, as we are proposing for open-end funds?

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[132] *See also infra* text accompanying footnote 645 (asking whether to extend any of the new requirements for funds' prospectus risk disclosure to the risk disclosure that certain closed-end funds are required to include in their annual reports).

[133] *See supra* footnote 129.

2. Contents of the Proposed Annual Report

The following table outlines the information the proposed rule would generally require funds to include in their annual reports. As is the case today, the proposed annual report would not be subject to page or word limits. We are not proposing page or word limits because we believe such limits could constrain appropriate disclosure or lead funds to omit material information. However, we believe that the proposed limits on the contents of these reports would limit their length, which would support our goal of concise, readable disclosure.[134]

TABLE 2: OUTLINE OF PROPOSED ANNUAL REPORT

	Description	*Proposed Item of Form N-1A*	*Current Item of Form N-1A Containing Similar Requirements*
Cover Page or Beginning of Report	Fund/Class Name(s)	Item 27A(b)	--
	Ticker Symbol(s)	Item 27A(b)	--
	Principal U.S. Market(s) for ETFs	Item 27A(b)	--
	Statement Identifying as "Annual Shareholder Report"	Item 27A(b)	--
	Legend	Item 27A(b)	--
Content	Expense Example	Item 27A(c)	Item 27(d)(1)
	Management's Discussion of Fund Performance	Item 27A(d)	Item 27(b)(7)

[134] For example, we believe funds generally would be able to reduce the length of their annual reports from more than 100 pages on average to a more concise presentation that is approximately 3 to 4 pages in length for paper reports, or an equivalent length for electronic reports. For paper reports, the amendments may allow funds to deliver annual reports using a trifold self-mailer (or a similarly concise mailing). A trifold self-mailer can eliminate the need for an envelope or separate pieces of paper. It is generally a large piece of paper that is folded to create multiple pages of information within a self-contained piece of mail.

	Fund Statistics	Item 27A(e)	--
	Graphical Representation of Holdings	Item 27A(f)	Item 27(d)(2)
	Material Fund Changes	Item 27A(g)	--
	Changes in and Disagreements with Accountants	Item 27A(h)	Item 27(b)(4)
	Statement Regarding Liquidity Risk Management Program	Item 27A(i)	Item 27(d)(6)(ii)
	Availability of Additional Information	Item 27A(j)	Item 27(d)(3) through (5)
	Householding Disclosure (optional)	Item 27A(k)	--*

* Rule 30e-1(f)(3) currently requires a fund to explain, at least once a year, how a shareholder may revoke his or her consent to householding. This explanation is not currently required in funds' shareholder reports, and we similarly would not require it in the proposed annual report.

To help market participants understand this proposed disclosure, Appendix A to this release includes a hypothetical annual report. This hypothetical annual report is provided solely for illustrative purposes and is not intended to imply that it would reflect a "typical" annual report under the proposed amendments. We also are providing the hypothetical annual report to illustrate for investors what a more concise, tailored shareholder report could look like and are providing a feedback flier that investors can use to provide their views on the hypothetical report and other issues in Appendix B.[135]

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[135] The hypothetical annual report is substantially similar to the prototype summary shareholder report that two commenters used in investor surveys. *See supra* footnote 44. For example, both of these sample reports provide information about a fund's expenses, performance, and holdings. The primary differences between the sample reports are that the hypothetical annual report would include a modified expense presentation, a performance line graph similar to current shareholder reports, and two new items related to fund statistics and material fund changes. Further, while the commenter that developed the prototype summary shareholder report supported the inclusion of liquidity risk management program disclosure, the prototype did not include this disclosure because the underlying requirement was not effective at that time. *See* ICI Comment Letter I.

We discuss each of the proposed content requirements in detail below, including specific requests for comment regarding each proposed item of the annual report. In addition to the more-specific requests for comment below, we also request general comments on the proposed content requirements for funds' annual reports.

12. In addition to the proposed content requirements for funds' annual reports, should we require or permit funds to provide additional information in their shareholder reports? For example, is there other information that funds typically include in their annual reports as a matter of practice or to comply with other regulatory requirements (*e.g.*, tax-related disclosure under the Internal Revenue Code about the fund's distributions)? Would it be beneficial to shareholders to receive any additional information in the annual report, or should funds provide this information through other mechanisms (*e.g.*, on their websites, in materials separately transmitted with the annual report, or in account statements)?

13. Are the topics that funds would discuss in their annual reports under the proposed amendments appropriate to provide fund shareholders with key information for assessing and monitoring their fund investments? Are there additional topics that should be required? Please explain. Are any of the topics redundant with information that appears in other disclosure requirements? If so, which topics, and why are they redundant?

14. How would the proposed amendments affect the length of funds' annual reports? Would the length of the proposed reports affect a fund's approach for delivering the full report in the mail, relative to its current approach for mailing annual reports?

15. Would proposed Item 27A result in disclosure that is of an appropriate length to be engaging and accessible to fund shareholders, or should we take additional steps to limit the length or complexity of annual report disclosure? For example, should we impose page or

word limits on annual reports? If so, what should they be? Should we limit the length of any particular section of the annual shareholder report, and if so, what should these limits be?

a. Cover Page or Beginning of the Report

The proposed amendments to Form N-1A would require a fund to provide the following information on the cover page or at the beginning of the annual report:

- The name of the fund, as well as the class(es) to which the annual report relates;
- The exchange ticker symbol of the fund's shares, or the ticker symbol of each class adjacent to the class name;
- If the fund is an ETF, the principal U.S. market(s) on which the fund's shares are traded;
- A statement identifying the document as an "annual shareholder report;" and
- The following legend: "This annual shareholder report contains important information about [the Fund] for the period of [beginning date] to [end date] [as well as certain changes to the Fund]. You can find additional information about the Fund at [Fund website address]. You can also request this information by contacting us at [toll-free telephone number and, as applicable, email address]."[136]

Currently, funds are not required to include specific cover page information in their shareholder reports. However, we understand that, as a matter of practice, funds typically include identifying information—such as the fund's name, the period of time the report covers, and whether the report is an annual or semi-annual report—at the beginning of the

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[136] *See* proposed Item 27A(b) of Form N-1A. The reference to the "beginning" of an annual report is designed to address circumstances in which there is not a physical page that would precede the report, for example, when the report appears online or on a mobile device. *See infra* Section II.B.4.

report or on a cover page. We are proposing to require specific identifying information at the beginning of the annual report so that shareholders can readily identify the purpose and scope of the report. This is also substantially similar to information that must appear at the beginning of fund prospectuses.[137]

The proposed legend is designed to help shareholders understand the purpose of the annual report, as well as the time period covered by the report. It also describes how a shareholder can obtain additional information about the fund, consistent with similar legends that appear on the cover page of the summary prospectus.[138] The website address a fund would provide in the legend would need to be specific enough to lead shareholders directly to the materials that would be required to be accessible on the fund's website under this proposal, including the fund's financial statements and financial highlights.[139] Funds also would have discretion to include other ways a shareholder can find or request additional information about the fund, such as Quick Response Code ("QR code") or referring the reader to mobile applications.[140]

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137 *See* Item 1 of Form N-1A.

138 *See* rule 498(b)(1)(v).

139 *See* Instruction 2 to proposed Item 27A(b); *infra* Section II.C. The website could be a central site with prominent links to the materials that would need to be accessible under the proposed amendments to rule 30e-1.

140 A QR code is a two-dimensional barcode capable of encoding information such as a website address, text information, or contact information. For example, when included on print materials, these codes can be read using the camera on a smartphone to take the user directly to a specific website address.

In addition, the proposed amendments would permit funds to include graphics, logos, and other design or text features to help shareholders identify the materials as the fund's annual report.[141]

We request comment generally on the proposed content requirements for the cover page or beginning of the annual report, and specifically on the following issues:

16. Is there additional information that we should permit or require funds to provide on the cover page or at the beginning of their annual reports? If so, what are the benefits of that additional information? For example, should we permit or require funds to include a table of contents, or would a table of contents add undue length to the shareholder report and provide limited benefits to shareholders given the general brevity of the report?

17. Should we remove or modify any of the information the proposed rule would permit or require funds to include on the cover page or at the beginning of their annual report, and if so, what information and how should we modify it?

b. Fund Expenses

We are proposing a simplified expense presentation in the annual report that would require a fund to provide the expenses associated with a hypothetical $10,000 investment in the fund during the preceding reporting period. In particular, the table must show: (1) an assumed $10,000 beginning account value; (2) total return during the period, before deducting expenses; (3) expenses in dollars paid during the period; (4) ending account value in dollars, based on net asset value return and the assumed $10,000 beginning account value; and (5)

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[141] *See* Instruction 1 to proposed Item 27A(b) of Form N-1A.

expenses as a percent of an investor's investment in the fund (*i.e.* expense ratio).[142] ETFs must also include the ending value of the account based on market value return.[143] The proposed expense example would appear as follows, and the individual aspects of the example are described in more detail below.

What were your Fund costs for the period? *(based on a hypothetical $10,000 investment)*

[Fund or Class Name]	Beginning account value [beginning date]	Total return before costs paid*	**Costs paid†**	Ending account value [end date] (based on net asset value return)	[For ETF only] Ending account value [end date] (based on market value return)	**Costs paid as a percentage of your investment†**
	$10,000	+ (plus) $[x]	**- (minus) $[x]**	= (equals) $[x]		**%**

* In this footnote, the fund would be required to describe qualitatively in plain English other costs included in total return, if material to the fund. For example, if applicable and material, the fund would note that fund investment transaction costs, securities lending costs, or acquired fund fees and expenses reduced the total return.

† In this footnote, the fund would be required to note in plain English that the actual costs paid during the period do not reflect certain costs paid outside the fund (such as purchase and exit costs charged by the shareholder's broker-dealer).

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142 *See* proposed Item 27A(c) of Form N-1A; *see also* discussion at *infra* Section II.B.4 and *infra* footnote 338 and accompanying text for a discussion of additional tools a fund can provide online to facilitate shareholder engagement.

143 *See* proposed Item 27A(c) of Form N-1A.